Notes to the Consolidated Financial Report
30 June 2019
(continued)

21 Share-based payments (continued)

(a) Performance rights (continued)

	30 June 2019 Number of Rights	**30 June 2019 Average Fair Value**	30 June 2018 Number of Rights	30 June 2018 Average fair value
Opening balance	**2,948,960**	**$1.87**	3,460,195	$1.26
Granted during the year	**828,285**	**$3.07**	762,577	$3.32
Vested during the year	**(1,307,885)**	**$1.19**	(1,273,812)	$1.09
Forfeited during the year	**-**	**$0.00**	-	$0.00
Closing balance	**2,469,360**	**$2.64**	**2,948,960**	**$1.87**

(b) Deferred shares - executives short-term incentive scheme

Under the Group's short-term incentive (STI) scheme for FY18, executives received 50% of the annual STI achieved in cash, with 50% deferred for 12 months. Executives were able to elect whether the deferred component would be delivered in cash or equity. The FY18 tranche of deferred rights were granted in September 2018 and will vest on or around September 2019, being 12 months after the date on which they were granted. They automatically convert into one ordinary share each on vesting at an exercise price of nil. The executives do not receive any dividends and are not entitled to vote in relation to the deferred shares during the vesting period. If an executive ceases to be employed by the Group within this period, they will have 6 months from cessation of employment or the vesting date (whichever is later) to exercise the deferred share right. Any rights not exercised within this period will automatically lapse.

The number of rights to be granted was determined based on the currency value of the achieved STI divided by the volume weighted-average price at which the Company's shares were traded on the Australian Securities Exchange over the 10 days following the release of the Group's FY18 results, being $6.34.

	2019	2018
Number of rights to deferred shares granted	**18,347**	95,103

(c) Expenses arising from share-based payment transactions

Total expenses arising from share-based payment transactions recognised during the year as part of employee benefit expense were as follows:

	30 June 2019 $'000	30 June 2018 $'000
Performance rights	**2,068**	1,798
Deferred shares issued under the short-term incentive scheme	**38**	165
Total expenses arising from share-based payment transactions	**2,106**	**1,963**